(9) Income Taxes

The provision for income taxes consists of the following:

	(Dollars in thousands) Year Ended December 31		
	2008	**2007**	**2006**
Current	$ 7,173	$ 5,763	$ 2,233
Deferred	(500)	(62)	786
Income tax expense	$ 6,673	$ 5,701	$ 3,019

The reconciliation of income taxes at the federal statutory rate to the Company's effective tax rate is as follows:

	(Dollars in thousands) Year ended December 31		
	2008	**2007**	**2006**
Federal taxes at statutory rate	$ 6,490	$ 5,126	$ 2,568
State tax net of federal benefit	463	575	296
Other	(280)	–	155
Taxes at effective tax rate	$ 6,673	$ 5,701	$ 3,019

The tax effects of significant items comprising the Company's net deferred tax asset (liability) consist of the following:

	(Dollars in thousands) Year Ended December 31	
	2008	**2007**
Deferred tax assets:		
Director Stock Units	$ 516	$ 431
Restricted Stock	131	–
Other	401	310
Total Items not currently deductible	$ 1,048	$ 741
Deferred tax liabilities:		
Differences between book and tax basis of property	$ 504	$ 697
	544	44